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Market Briefs Pro

Read Less News

Good morning, Pro Briefers!

It's no secret that AI investment has dominated Wall Street for the better half of the last 5 years.

[Data centers](#), infrastructure, energy, and more are all seeing an increase in spending as a result.

However - *most investors are looking in the wrong direction.*

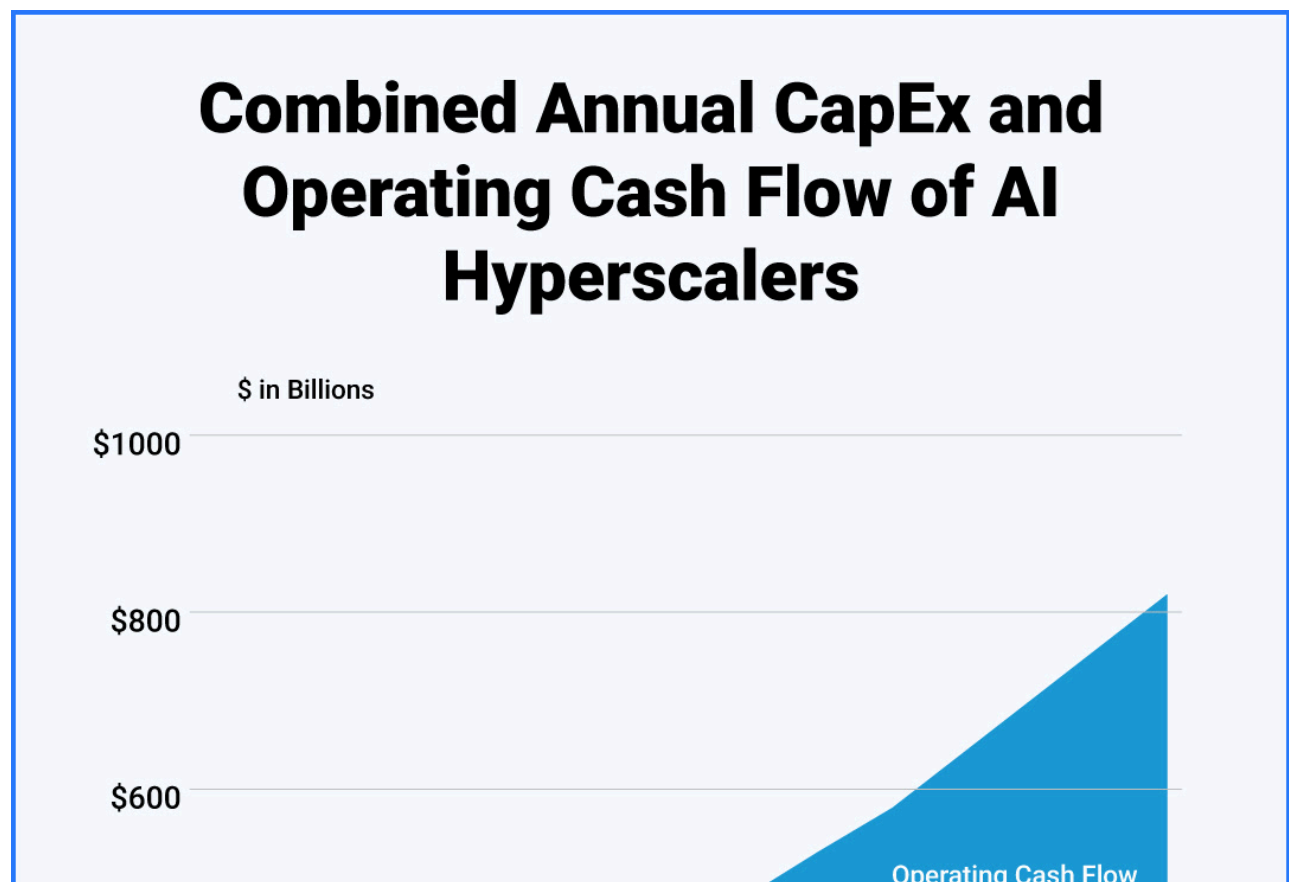
While the majority of investors piles into [Nvidia](#), chasing the obvious AI plays, there's a different game happening underneath the surface.

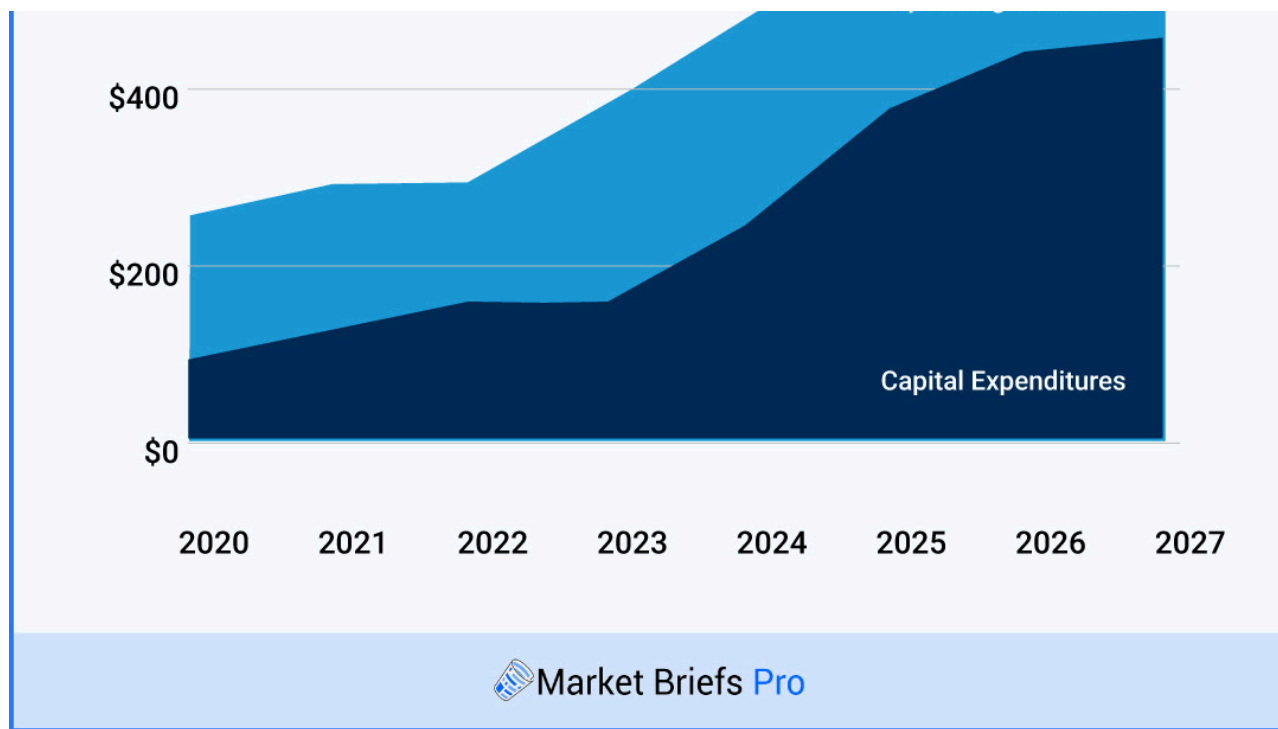
The market won't be defined by who builds the best AI model.

Or who has the flashiest product launch or the most viral demo.

The future of AI will be defined by who's investing the most dollars - and right now, that's tech giants.

Here's what's happening: The AI revolution has funneled billions of dollars into a handful of household names. Everyone knows Nvidia is making the chips.





Data [via](#) ETF Trends

Everyone knows OpenAI built ChatGPT. Everyone knows Microsoft is integrating AI into everything.

But here's what most investors missed: Some of the biggest, most established tech companies in the world quietly made strategic investments into AI years ago that are about to pay off in a major way.

We're talking about companies that already have strong balance sheets, proven business models, and steady cash flow.

But hidden inside their portfolios are venture stakes in AI companies that could be worth tens of billions of dollars more than the market currently realizes.

This isn't speculation. These are confirmed equity positions that barely show up in analysts' models.

And that creates an opportunity that we have identified as a Wall Street shift:

Instead of trying to pick which AI startup will win or which model will become number 1, investors are turning to established companies that benefit no matter which technology comes out on top.

These are AI companies by proxy - they get the benefits of new innovations, but reduce their risks by not actually focusing their entire business on AI

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Let's take a look at some of these AI proxy companies, the AI investments they have made, and how investors may be able to potentially profit from this opportunity.

ANALYST TAKE

Tickers we're tracking:

High growth: ASML

Value anchor: GOOG

Income generator: CSCO

HIGH GROWTH

The Monopoly Most People Overlook

Nvidia and [AMD](#) are at the center of AI - but there's another company quietly leading its segment of the AI space: ASML.

In fact, ASML has a complete monopoly on the machines required to make advanced AI chips.

We're talking about Extreme Ultraviolet Lithography systems.

- These are \$350 million machines that use light to etch microscopic patterns onto silicon wafers.

Without these machines, you cannot manufacture the chips that power AI.

Nvidia Blackwell chips? Made using ASML equipment.

ASML key earnings figures 2025

Q42025

ASML presents its fourth-quarter key figures

€9.7bn

Net sales

52.2%

Gross margin

€1.3bn

R&D expenses

€7.35

Earnings per share
(basic)

2025 full-year results

ASML presents its key full-year results

€32.7bn

Net sales

52.8%

Gross margin

€4.7bn

R&D expenses

€24.73

Earnings per share
(basic)

 Market Briefs Pro

Data [via](#) ASML Investor Presentation

Every cutting-edge processor that runs AI models? Same thing.

ASML is the only company in the world that can build these EUV systems.

So, if you want to make advanced chips, you go through ASML.

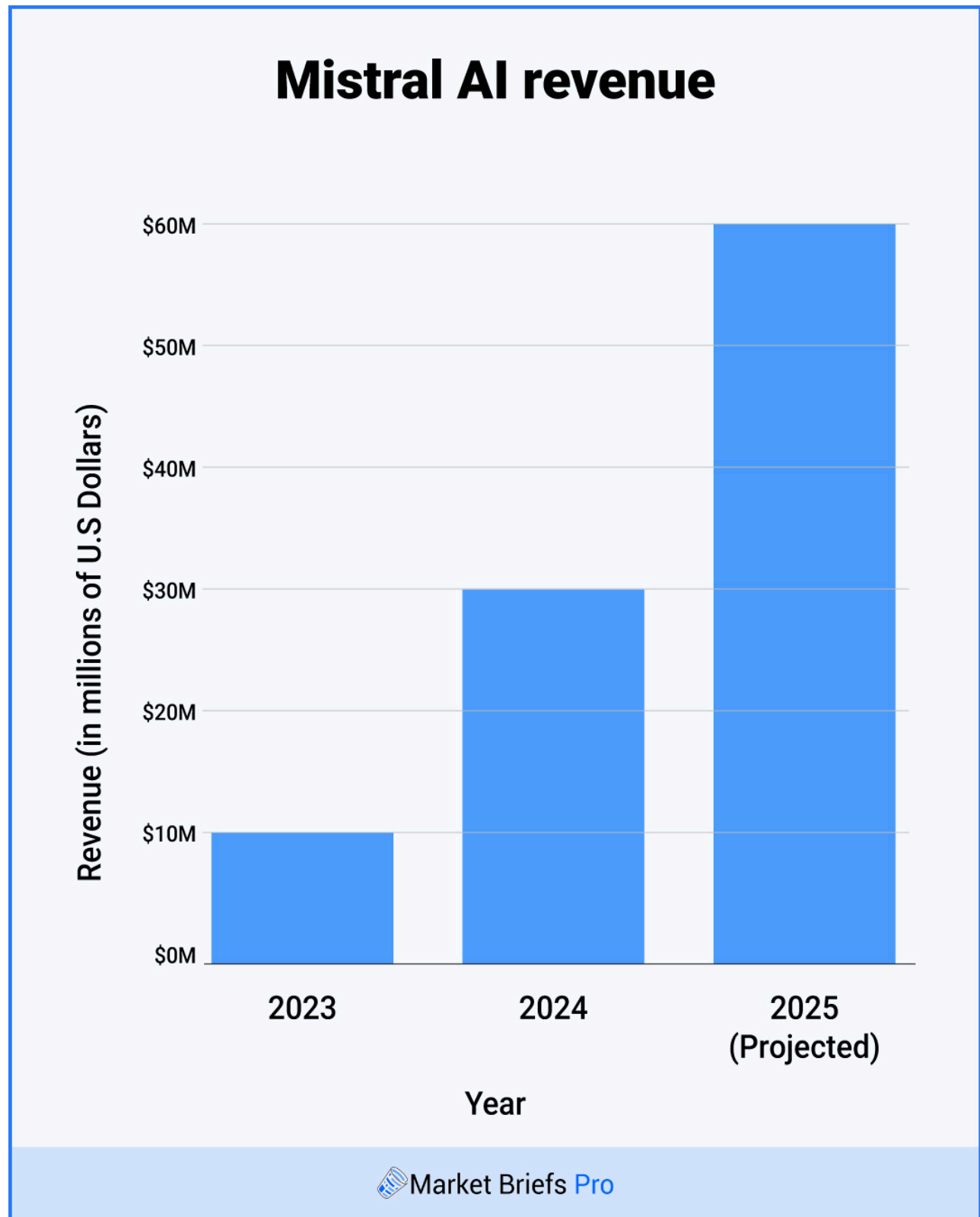
That's its core business - which creates a [strong moat](#) for it as AI continues to see investment dollars flow in.

Why? As long as AI is around, companies will need chips - that means they will need ASML's tech.

But how does this make it an AI proxy?

But how does this make it an AI proxy:

In September 2025, ASML led a \$1.5 billion funding round for Mistral AI, securing an 11% stake in Europe's leading independent AI model developer.



Data via TechCrunch

The plan is for ASML to integrate Mistral's AI models into its chip manufacturing process to improve its tech.

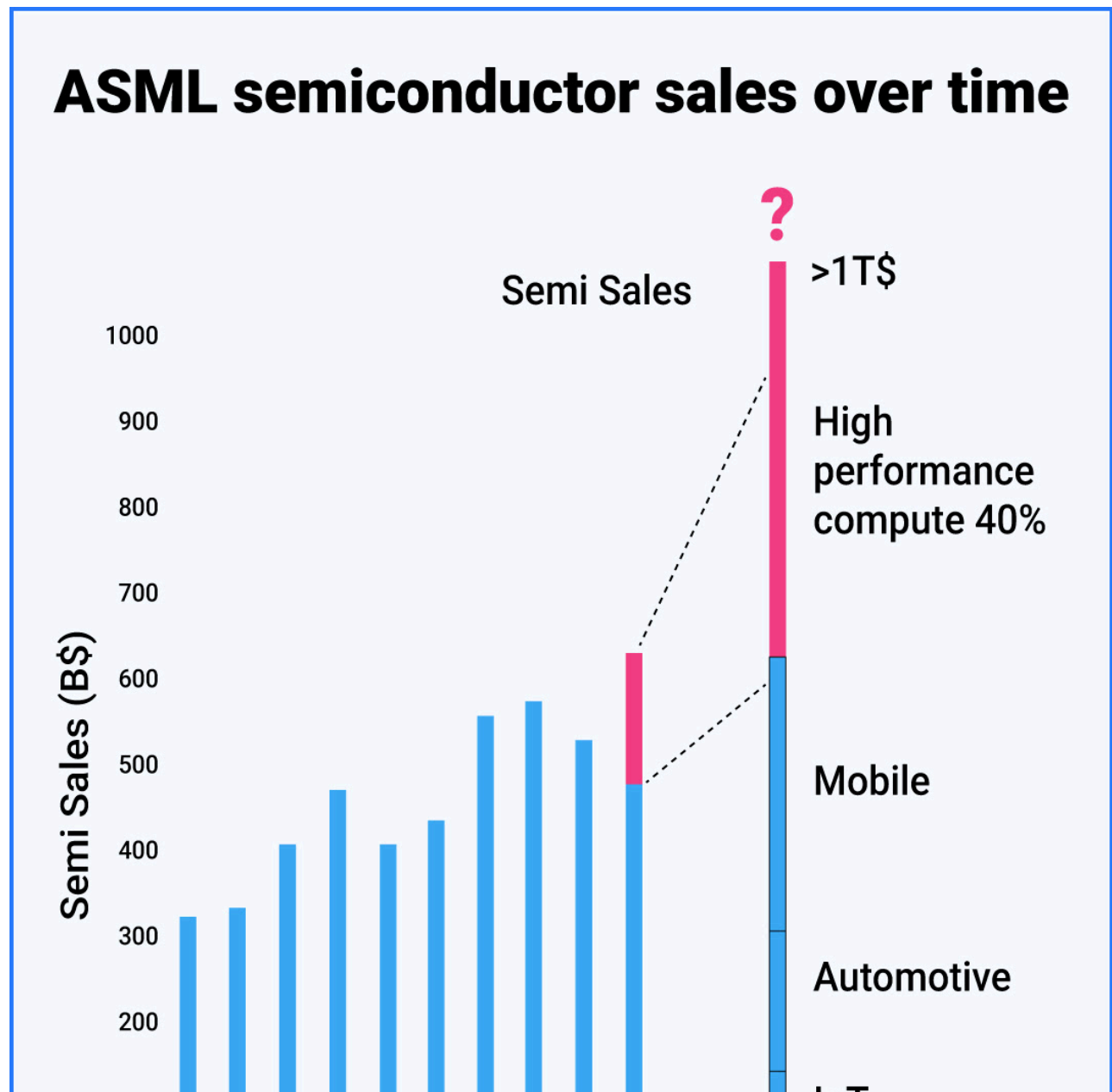
Think about it like this: Better AI helps make better chips, which enables better AI, which helps make better chips.

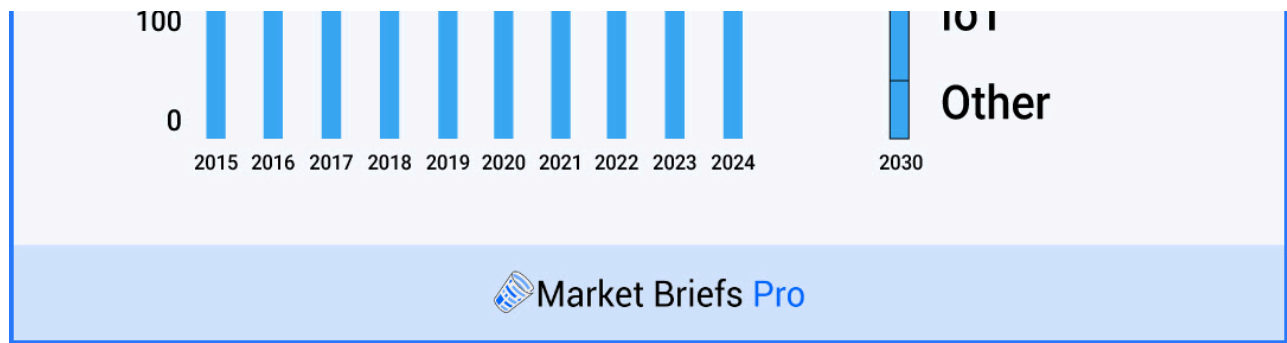
Right now, Mistral AI is valued at around \$13.7 billion.

If the company hits a \$20-25 billion valuation in the next funding round or through an [IPO](#), ASML's stake could be worth \$2.2 to \$2.8 billion.

That's nearly double their initial investment.

Obviously, there is some risk and reward there for ASML - but as of February 12th, 2026, ASML's market cap is over \$500 billion.





Data [via](#) ASML Investor Presentation

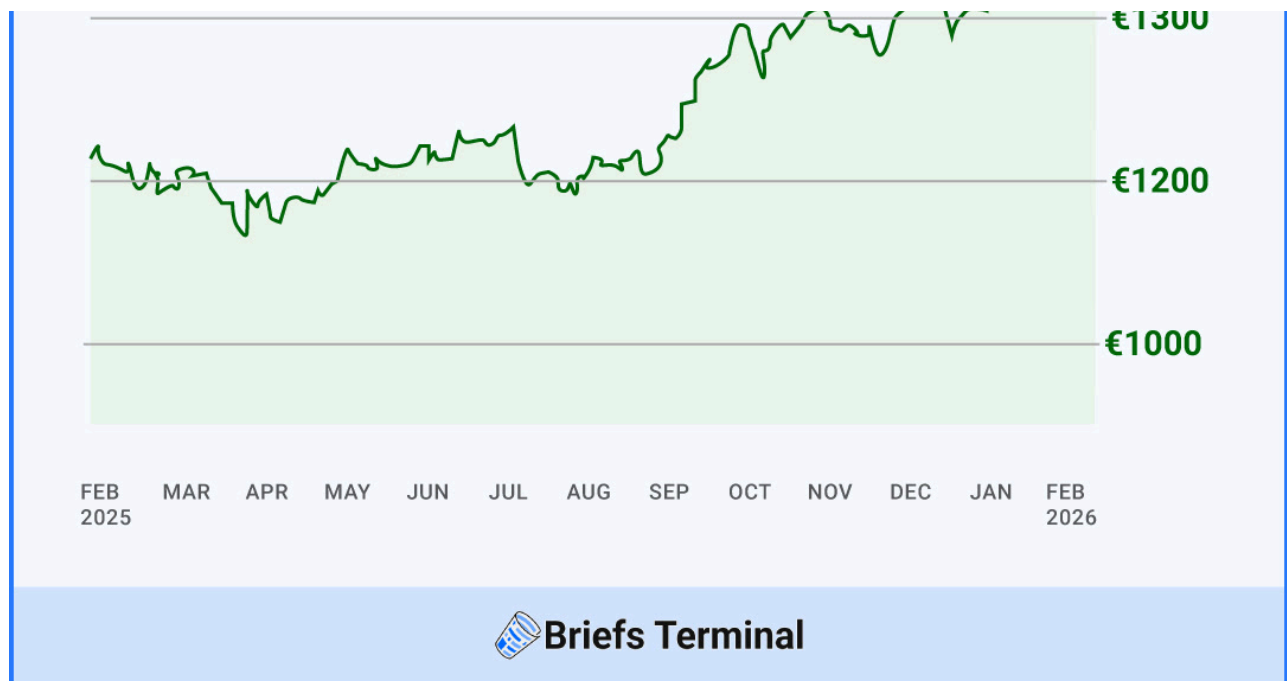
In short - it has the capital to make a play like this, with little downside if Mistral doesn't take off.

Most analysts are missing this as well - this venture position doesn't seem to be fully reflected in ASML's current stock price.

Most valuation models focus on semiconductor equipment sales, chip demand cycles, and export restrictions to China.

But that Mistral stake? We believe that many analysts are overlooking it simply because Mistral hasn't proven itself yet.





Data [via](#) Briefs Terminal

That's the opportunity - if Mistral takes off, ASML could be left with a massive chunk of liquidity to grow its business, invest in more AI, or even take part of the spotlight from Nvidia.

Plus, investors get exposure to the company that controls AI chip production, which will be crucial even if Mistral fails and the investment goes to zero.

Our analysts see ASML as the growth play in this strategy - higher volatility, but multiple paths return value to shareholders.

VALUE ANCHOR

The \$93 Billion Secret Inside Google

Now let's talk about Alphabet.

When analysts value Google, they focus on advertising revenue - this is the core of its business.

So Google Cloud growth, YouTube's monetization potential, and search market share trends is already baked into its current valuation.

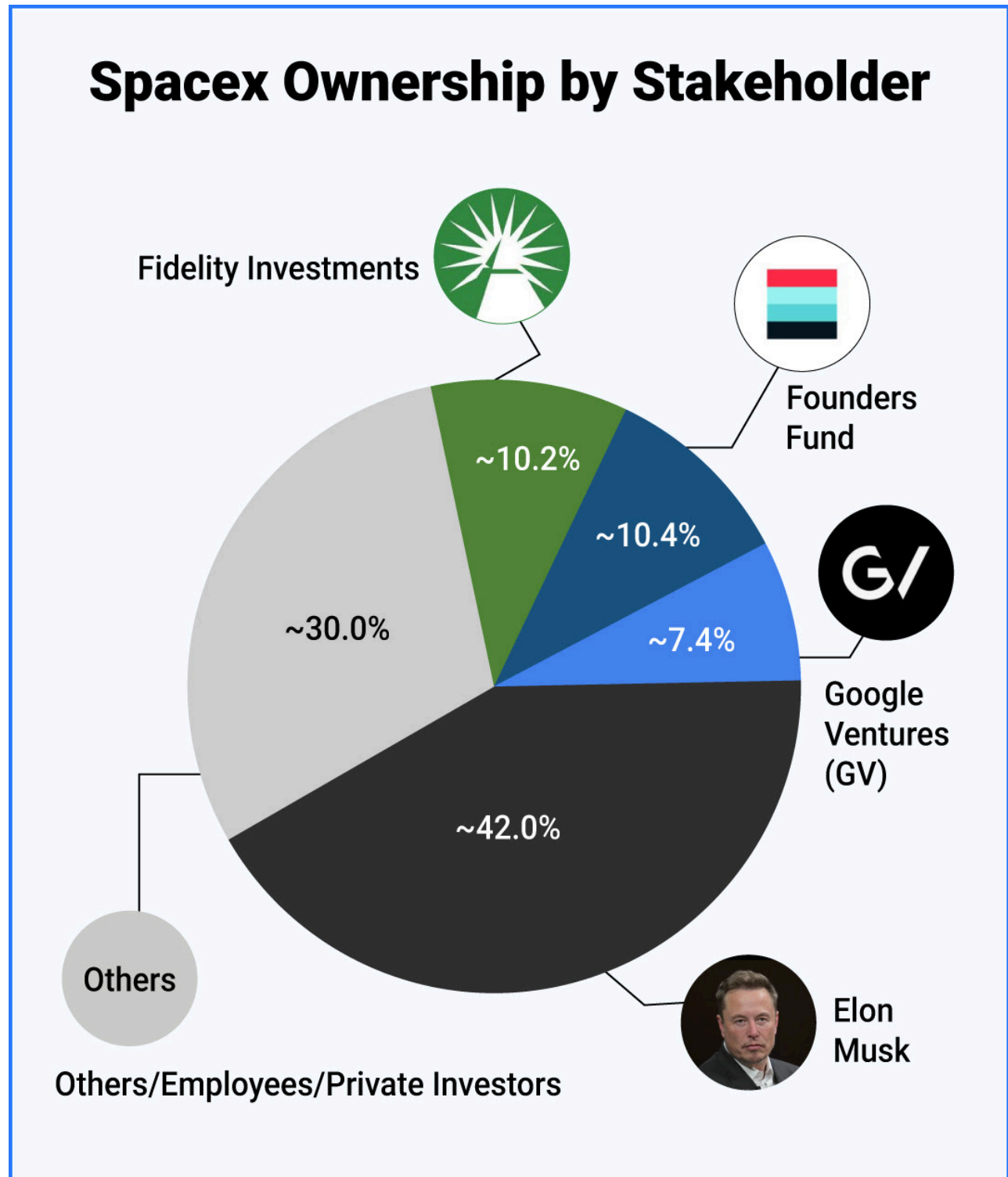
But for years, Google has been known as an accelerator of several different types of

But for years, Google has been known as an accelerator of several different types of businesses.

And Google owns a massive piece of SpaceX.

- SpaceX is one of the largest rocket and launch companies in the world - its IPO is expected to value it over \$1 trillion, making it the largest IPO in history.

Back in January 2015, Google and Fidelity invested \$1 billion into SpaceX. Google's portion was around \$900 million for roughly a 7.5% stake.



Data [via](#) Space News

Flashback: SpaceX was valued at \$12 billion. It seemed like a modest bet from Google's perspective.

Flashforward: In February 2026, SpaceX merged with xAI at a combined reported valuation of \$1.25 trillion.

The merged entity is preparing for a mid-2026 IPO, with speculation that the valuation could reach \$1.5 trillion.

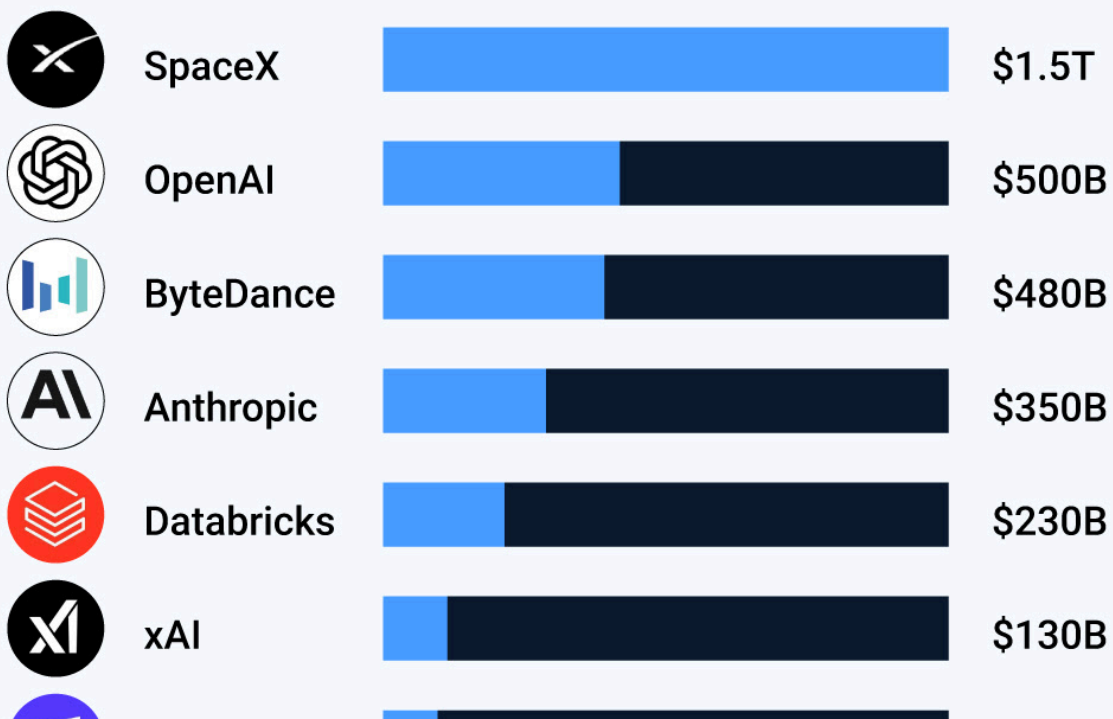
Google's 7.5% stake at a \$1.25 trillion valuation? That's \$93.75 billion.

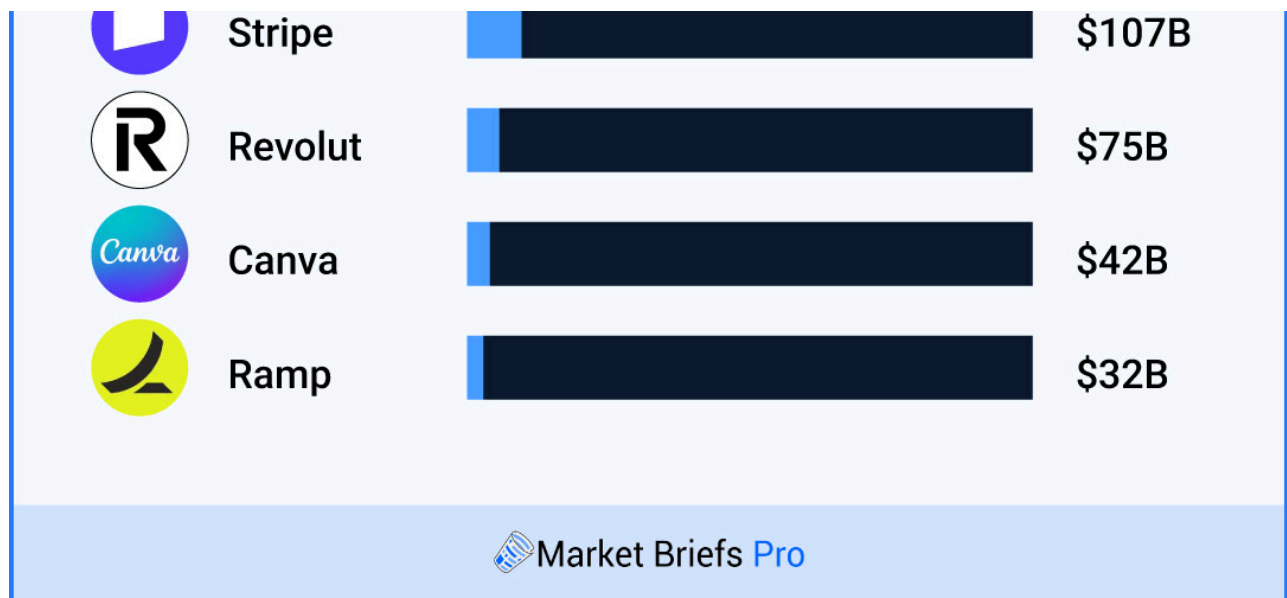
At a \$1.5 trillion IPO? That's \$112.5 billion.

In Q1 2025, Alphabet reported \$8 billion in unrealized gains from SpaceX.

That represented about 25% of their total net income for the quarter.

SpaceX Targets IPO in 2026 With \$1.5T Valuation





Data via [Benzinga](#)

But here's the kicker: At Alphabet's current market cap, this SpaceX position appears to be getting almost no credit in the stock price.

Most investors don't even know it exists - and that's why this opportunity is hidden in plain sight.

Alphabet also runs Gemini, its proprietary AI platform competing directly with OpenAI and Anthropic.

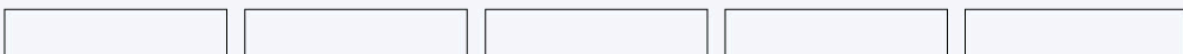
- Google has also invested billions into Anthropic.

This bet, along with Google's strong financial position, allows it to realize very little risk if SpaceX happens to lose value.

This creates a hedge structure: If xAI (through the SpaceX merger) dominates AI applications, Alphabet wins through its equity stake.

If Gemini becomes the leading enterprise AI platform, Alphabet wins through its core business.

**Google is AI first, placing bets
in all major areas**





Data via AI Multiple

Either way, Google is at the forefront of this shift, benefiting as a giant that saw opportunities early.

Our analysts see this as the value play in the Proxy AI strategy.

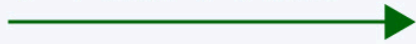
Google is currently trading at a P/E of 28 as of February 12th, 2026.

This is typically considered low for the tech sector, especially since it is partially an AI company.

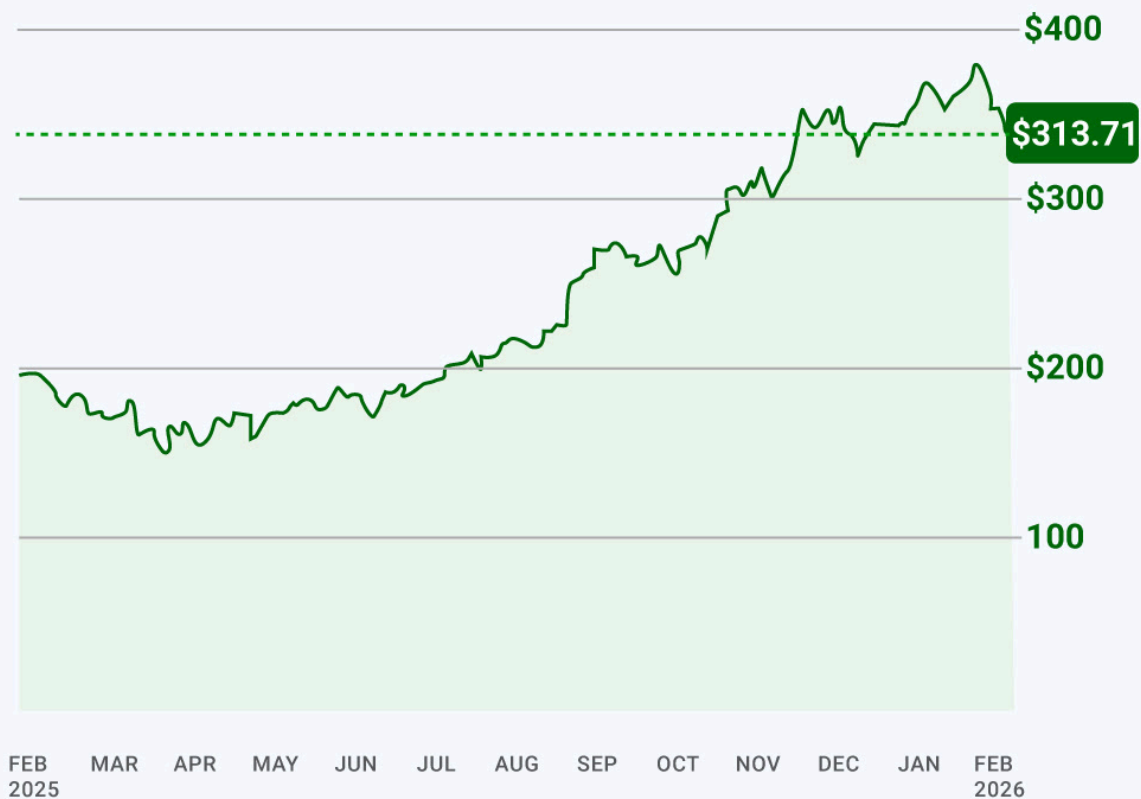
The bottom line: The market is not yet pricing in its large AI exposure, creating a potential opportunity for investors to benefit from Google's hidden AI business.

Alphabet Inc.

1 Year Price



313.71
(69.04%)



 Briefs Terminal

Data [via](#) Briefs Terminal

INCOME GENERATOR

The Income Play With Hidden AI Exposure

Let's check the score:

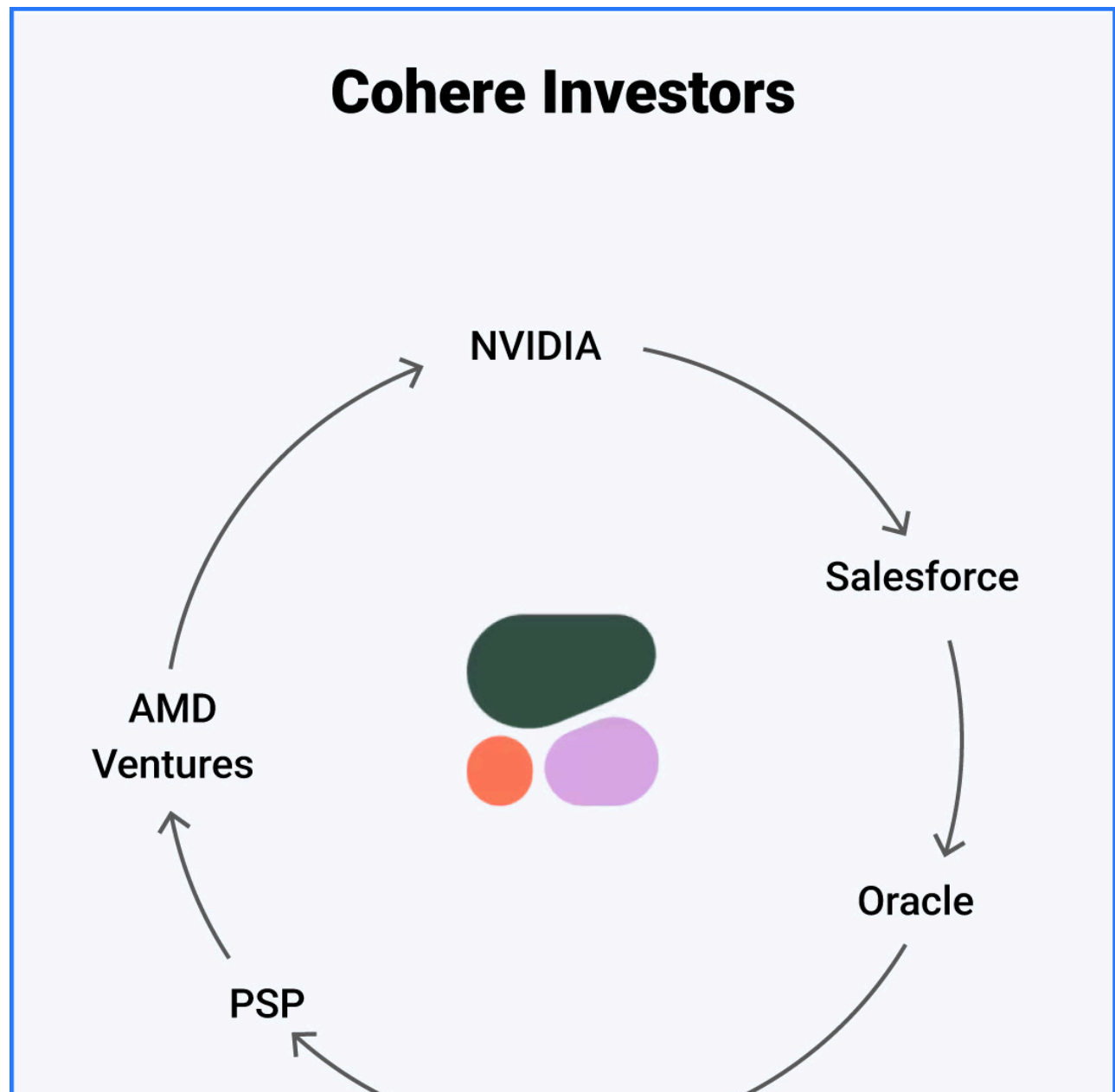
- We have a growth play.
- We have a value play.

And now, let's break down an income play that may also benefit from this market shift:
Cisco Systems.

Most people think of Cisco as a boring infrastructure company.

It makes routers, switches, and cybersecurity software. While this is crucial for AI too, it's not very exciting.

The reason: Most people already have routers and cybersecurity - it has opportunities to grow, but not compared to an AI startup.



Cisco

 Market Briefs Pro

Data *via* Oracle

However, Cisco boasts something rare in the tech world: A steady 3% dividend.

That makes it a [Dividend Achiever](#) - returning profits back to shareholders every quarter for at least 15 years in a row.

But Cisco hasn't left AI behind, either.

In June 2024, Cisco launched a \$1 billion AI Investment Fund focused specifically on private AI infrastructure companies.

The fund holds stakes in Cohere (enterprise AI models), Mistral AI, and most notably, Scale AI.

Scale AI is critical infrastructure for the entire AI industry.

They provide data labeling and annotation services that enable model training across OpenAI, Meta, Anthropic, and every other major AI platform.

- These services help the AI models to actually *read* the data, which helps them to complete a task.

In May 2024, Scale AI raised \$1 billion at a \$14 billion valuation.

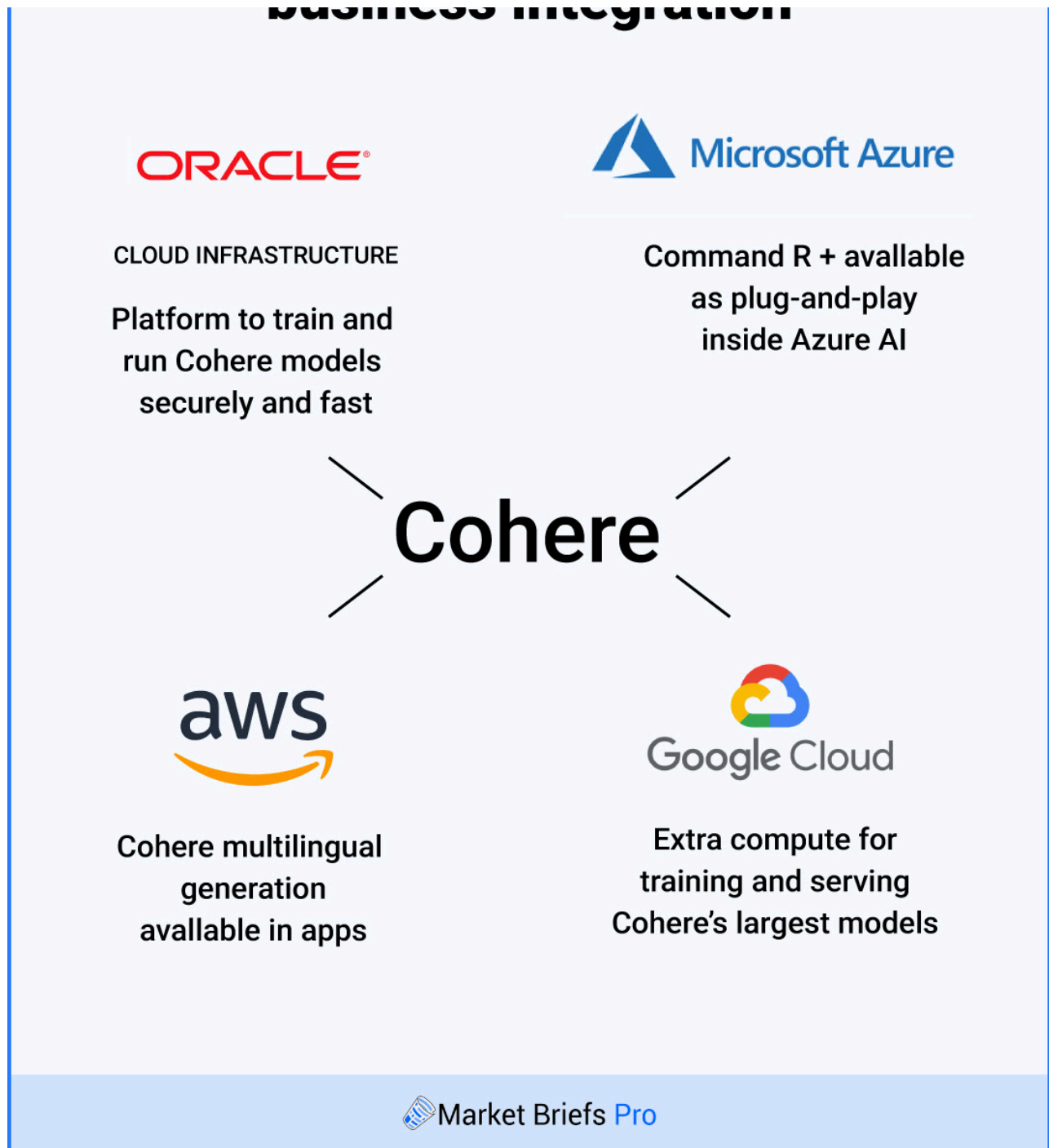
And Cisco was the largest strategic investor.

Then in June 2025, Meta acquired a 49% stake in Scale AI for \$14.3 billion, valuing the company at \$29 billion.

That's more than double the valuation from just one year earlier.

Cohere investor
business integration

Business Integration



Data *via* Oracle

Now, there's some customer concentration risk here.

Several major clients including Google and OpenAI have reportedly reduced engagements due to concerns about data confidentiality with Meta now owning such a large stake.

But here's what matters: Scale AI generated \$870 million in revenue in 2024, with projections exceeding \$2 billion in 2025. That's roughly 130% year-over-year growth.

And Cisco owns a large chunk of that revenue

And Cisco owns a large chunk of that revenue.

Meanwhile, Cisco still pays that 3% dividend. The core business generates steady cash flow. The company maintains a strong balance sheet.

Investors can gain exposure to the AI world while also investing in a steady tech giant with a consistent dividend.

This is the income component of the Proxy AI strategy.



Data *via* Briefs Terminal

The elephant in the room: Cisco fell over 12% on 2/11/26.

- Guidance on AI spending came in lower than Wall Street had hoped, despite the company beating on the top and bottom lines.

Our analysts see this as an opportunity.

Cisco has low expected volatility, steady returns, and AI infrastructure exposure as an upside, and this provides a lower entry point for investors that see it as an opportunity.

OUR APPROACH

The Play

Put these three together and you've got a diversified approach to AI infrastructure:

ASML - High growth, high volatility. Monopoly on chip manufacturing equipment plus direct equity in Mistral AI.

Alphabet - Value anchor. Hidden \$93+ billion SpaceX-xAI stake that's barely priced in, plus proprietary Gemini platform.

Cisco - Income generator. 3% dividend with \$1 billion AI infrastructure portfolio including Scale AI exposure.

This structure gives you multiple ways to benefit from AI in the future.

Keep the thesis in mind here: No single technology has to win and no single business model has to command the space.

These are companies that are supplying the capital to create the infrastructure that AI and other tech need.

Many don't actually create the AI themselves, aside from Alphabet. But, they have found a way to use their powerful positions in the market to benefit as an AI proxy.

Investors who believe in this shift can then benefit from all different angles of the AI value chain.

RISKS

How This Shift Could Change

The biggest risk to this shift? *Regulations*.

ASML operates under export controls that restrict sales to China. Changes in E.U. or U.S. policy could hurt revenue.

Plus, private market valuations like SpaceX-xAI's \$1.25 trillion aren't public.

When these companies go public, their valuations could be very different, potentially lowering how much these proxies receive in value.

The AI model landscape is also moving fast.

Mistral, Cohere, and Gemini all face competition from open-source alternatives and well-funded rivals. And that means it's a race to the top and some AI startups may disappear as a result.

But here's the important part. These are all profitable, established companies with strong core businesses independent of their AI exposure.

The AI ventures represent potential upside, not a dependency. So these investments are likely to remain stable, even through an AI or market crash.

REVIEW

The Proxy AI Play

Companies are spending money on AI in a variety of different ways.

Rather than trying to predict which models or platforms will win, this approach focuses on companies positioned to benefit from infrastructure buildouts regardless of which specific technologies win.

You get exposure to three distinct layers of the AI value chain: semiconductor manufacturing equipment, data infrastructure, and enterprise deployment tools.

Each position maintains strong fundamentals in its core business while providing venture exposure to high-growth AI companies.

This structure balances growth potential with the operational stability and cash generation of established tech companies.

The market is chasing the obvious plays.

But the real money might be in the companies no one's talking about, which is where we believe investors will want to turn their focus in the long-term.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.